

Question #1 of 126

Question ID: 1472542

The Herlitzka Company, a U.S. multinational firm, has a 100 percent stake in a Swiss subsidiary. The U.S. dollar (USD) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the weighted-average inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The remeasured value of accounts receivable and inventory respectively are *closest* to:

- A)** \$1,845 and \$2,401.
 - B)** \$1,771 and \$2,361.
 - C)** \$1,845 and \$2,361.
-

Question #2 of 126

Question ID: 1472567

The nation of Deadoa is experiencing hyperinflation. A subsidiary of a multinational operating in Deadoa will notice changes in its purchasing power and in its financial results as reported on its parent company's financial statements. Which of the following best describes the situation for a subsidiary operating in Deadoa? Purchasing power will:

- A)** dramatically appreciate and the local currency will be rapidly appreciating against the presentation currency.
 - B)** quickly deteriorate and the local currency will be rapidly appreciating against the presentation currency.
 - C)** quickly deteriorate and the local currency will be rapidly depreciating against the presentation currency.
-

Question #3 of 126

Question ID: 1472509

Each of the following items is considered a *monetary* asset or liability account under the temporal method for foreign currency translation *EXCEPT*:

- A)** long-term debt.
 - B)** inventory.
 - C)** accounts payable.
-

Question #4 of 126

Question ID: 1472507

Which of the following currency translation methods is *most* appropriate in a hyperinflationary economy under US GAAP? The:

- A)** current rate method since the translation gain or loss is shown on the income statement.
 - B)** current/non-current method since current assets and liabilities are translated at the current exchange rate.
 - C)** temporal method because all non-monetary accounts are translated at the historical rate.
-

Scud Co. is a Swiss subsidiary of the U.S. firm Patriot, Inc. On December 31, 20X7 the \$/SF exchange rate was 0.77. Assume that this is the historical rate, except as noted below. One year later the Swiss Franc had appreciated to 0.85 \$/SF. Scud Co. pays no dividends. The average exchange rate for the year was 0.80 \$/SF. Scud pays no taxes. Assume that Scud uses a periodic inventory system and that inventory is accounted for using the LIFO inventory assumption, was bought and sold evenly throughout the year.

Scud Co. Int'l		
Balance Sheet (in SF thousands)		
	Dec. 31, 20X7	Dec. 31, 20X8
Cash & A/R	400	600
Inventory	500	500
Net Fixed Assets	<u>700</u>	<u>600</u>
Total Assets	1,600	1,700
A/P	100	200
Long-term debt	200	100
Common Stock	1,300	1,300
Retained Earnings	<u>0</u>	<u>100</u>
Total Liabilities	1,600	1,700

Income Statement (in SF thousands)	
December 31, 20X8	
	In SF
Sales	7,000
COGS	(6,800)
Depreciation	<u>(100)</u>
Remeasurement Gain/Loss	--
Net Income	100

Assume that the functional currency is the U.S. dollar when answering the following questions.

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Question ID: 1586118

Assuming closing retained earnings for the year 20X8 was \$110, the translation gain on the income statement would be:

- A) \$17.
 - B) \$0.
 - C) \$27.
-

Question #6 - 8 of 126

Question ID: 1586119

The level of net fixed assets on the remeasured 20X8 balance sheet would be:

- A) \$510.
 - B) \$462.
 - C) \$480.
-

Question #7 - 8 of 126

Question ID: 1586120

The level of retained earnings on the remeasured 20X8 balance sheet would be:

- A) \$101.
 - B) \$85.
 - C) \$305.
-

Question #8 - 8 of 126

Question ID: 1586121

As compared to the local currency ratio, fixed asset turnover in the reporting currency would *most likely* be:

- A) higher.
- B) lower.
- C) the same.

Walter Jameson, CFA[®], is an analyst for Continental Corp., a global investment bank. Jameson has been assigned coverage of Wasson Brothers (WB), a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. Jameson has completed his review of the firm's U.S. operations, but his research report is due at the end of the week and he has yet to assess the impact of Wasson's foreign subsidiaries on his earnings model.

One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan and manufactures a hugely successful line of trading cards, toys, and other related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in yen/\$.

Yen/Dollar Exchange Rate	
December 31, 2002	150
December 31, 2001	130
2002 Average	140
2001 Average	120
Exchange rate on date that 2002 dividends were declared (payable to Wasson Brothers)	145
Exchange rate on date of stock issue and acquisition of fixed assets	100

Kasamatsu Industries Financial Data (12/31/02)			
	Yen (in thousands)	Exchange Rate	U.S. Dollars (in thousands)
Sales	700,000		
COGS	280,000		
Depreciation	126,000		
SG & A	77,000		

Income Tax Expense	98,000		
Net Income	119,000		
2001 Retained Earnings	0		
Dividends	58,000		
2002 Retained Earnings	61,000		
Current Assets	50,000		
Fixed Assets	486,000		
Current Liabilities	46,000		
Long Term Debt	254,000		
Capital Stock	175,000		
Accumulated Translation Adjustment			

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Question ID: 1586103

The first step in Jameson's analysis is to compute Kasamatsu's impact on WB's net income. What is Kasamatsu's impact on WB's net income (in thousands dollars)?

- A) \$821.
 - B) \$793.
 - C) \$850.
-

Question #10 - 12 of 126

Question ID: 1586104

Jameson now computes the adjustment to WB's financial data due to Kasamatsu's payment of dividends. What is the U.S. dollar amount of this adjustment (in thousands)?

- A) \$400.
 - B) \$414.
 - C) \$446.
-

Question #11 - 12 of 126

Question ID: 1586105

The carrying value of Kasamatsu's total assets on December 31, 2002, using the current rate method of accounting for translations is:

- A) \$2,938.
 - B) \$3,573.
 - C) \$3,240.
-

Question #12 - 12 of 126

Question ID: 1586106

Having converted all of Kasamatsu's accounts using the current rate methods, Jameson is curious to compare the difference between the temporal and current rate methods on balance sheet accounts. The difference in translated fixed assets and long term debt respectively if Jameson were to use the temporal method rather than the current rate method is:

	<u>Fixed Assets</u>	<u>Long-Term</u> <u>Debt</u>
A) \$0	\$0	
B) \$1620	\$0	
C) \$1620	\$121	

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Question ID: 1472533

An important distinction between the temporal method and the current rate method is that:

- the current rate method results in an adjustment to the equity account on the
- A) balance sheet. The temporal method results in a gain or loss appearing on the income statement.
- depreciation and cost of goods sold (COGS) are a function of the current rate under
- B) translation (current rate method), but a function of the average rate under remeasurement (temporal method).

- C)** monetary assets and liabilities are remeasured (temporal method) at historical rates but translated (current rate method) at current rates.
-

Question #14 of 126

Question ID: 1472556

Which of the following statements is *most* accurate concerning foreign currency translation?

- A)** The receivables turnover ratio is identical under both the temporal method and the current rate method.
- B)** In the case of an appreciating currency, the fixed asset turnover will be lower under the temporal method, as compared to the current rate method.
- In the case in which a firm uses first in, first out (FIFO) inventory valuation, if the
- C)** local currency depreciates the cost of good sold under the temporal method is less than the cost of goods sold using the current rate method.
-

Question #15 of 126

Question ID: 1482619

The Schuldes Company had the following reported assets in euros at historical cost for the period ending December 31, 2005.

Cash	134
Accounts receivable	270
Inventory	404
Net fixed assets	<u>1347</u>
Total assets	2155

The exchange rate per euro was \$0.8734 on January 1, 2005 and \$0.9896 on December 31, 2005. The average exchange rate for the year 2005 was \$0.8925. The total assets of Schuldes using the current rate method are:

- A)** \$1,923.
- B)** \$2,133.
- C)** \$2,178.

Question #16 of 126

Question ID: 1472546

Which of the following ratios is affected by translation under the current rate method?

- A)** Fixed asset turnover ratio.
 - B)** Net profit margin.
 - C)** Debt/Assets ratio.
-

Question #17 of 126

Question ID: 1472527

Which of the following general statements is *most* accurate with respect to the current rate method? Revenues:

- A)** and operating expenses are translated at the average rate.
 - B)** are translated at the average rate while operating expenses are translated at the current rate.
 - C)** and operating expenses are translated at the current rate.
-

Question #18 of 126

Question ID: 1472504

Under the temporal method, the inventory and cost of goods sold (COGS) accounts are both nonmonetary accounts. Which of the following statements is *least* accurate regarding these accounts?

- A)** If the firm accounts for inventory using last in, first out (LIFO), then the beginning-of-period rate is used to remeasure COGS.
 - B)** The Inventory account is remeasured using the historical rate under both LIFO and FIFO.
 - C)** If the firm accounts for inventory using first in, first out (FIFO), then a more recent rate will be applied to the inventory account.
-

Giant Company is a U.S. Company with a subsidiary, Grande, Inc., that operates in Mexico. Giant Company uses either the temporal or the current rate method of foreign currency translation for its subsidiaries.

- Grande, Inc., began operations January 1, 2012.
- Common Stock and Fixed Assets were acquired January 1, 2011.
- Inventory is accounted for under the last in, first out (LIFO) cost flow assumption, with a slow rate of turnover.
- The beginning *U.S. dollar* value of Giant's retained earnings was \$2,600,000.
- The inventory in the January 1, 2012, Balance Sheet was acquired on January 1, 2012.

Exchange Rates were:	January 1, 2011	\$0.14/peso
	January 1, 2012	\$0.12/peso
	June 30, 2012	\$0.11/peso (this is the 2012 average rate)
	December 31, 2012	\$0.10/peso

	Grande, Inc.	
	Balance Sheet (in M Pesos)	
	Jan. 1, 2012	Dec. 31, 2012
Cash	5,000,000	20,000,000
Accounts Receivable (A/R)	20,000,000	35,000,000
Inventory	15,000,000	15,000,000
Fixed Assets (net)	90,000,000	60,000,000
Accounts Payable (A/P)	10,000,000	10,000,000
Long Term Debt	40,000,000	35,000,000
Common Stock	80,000,000	80,000,000
Retained Earnings		5,000,000

2012 Income Statement	
(in Pesos)	
Sales	60,000,000
Cost of Goods Sold (COGS)	(45,000,000)

Depreciation	(<u>10,000,000</u>)
Net Income	5,000,000

Assume that Giant Company considers the Mexican peso to be both the local currency and the functional currency of Grande, Inc.

Question #19 - 22 of 126

Question ID: 1586083

To reflect the results of Grande, Inc., in its financial statements, it would be *most* appropriate for Giant Company to use the:

- A)** current rate method followed by the temporal method.
 - B)** temporal method.
 - C)** current rate method.
-

Question #20 - 22 of 126

Question ID: 1586084

The Net Income of Grande, Inc., expressed in U.S. dollars for the year ended December 31, 2012, is *closest* to:

- A)** \$250,000.
 - B)** \$550,000.
 - C)** \$500,000.
-

Question #21 - 22 of 126

Question ID: 1586085

The translation gain or loss from the activities of Grande, Inc., should be reported in the:

- A)** income statement.
 - B)** equity accounts.
 - C)** statement of cash flows.
-

Compared to the current ratio before translation, the current ratio after translation is *most likely* to be:

- A) higher.
- B) lower.
- C) the same.

Dell Air Lines has recently acquired Australian Puddle Jumpers, Inc., a small airline located in Sydney. The Australian dollar has been chosen by Dell as the functional currency for APJ. The Balance Sheet of APJ is given below as of Dec. 31, 2004 in Australian dollars.

Assets			Liabilities and Equity	
Cash	200		A/P	180
A/R	240		Common Stock	720
Maintenance Supplies	180			
Fixed Assets	<u>280</u>			
Total Assets	<u>900</u>		Total Liab & Equity	<u>900</u>

APJ's income statement for the year ending Dec. 31, 2005 is expressed in Australian dollars as:

Sales	3,500
Total Costs	<u>2,900</u>
Net Income	<u>600</u>

The Australian dollar has steadily depreciated against the U.S. dollar. At Dec. 31, 2004, the exchange rate was 2 Australian dollars = \$1 but at Dec. 31, 2005, the exchange rate had deteriorated to 3 Australian dollars = \$1.

The Dec. 31, 2005 Balance Sheet for APJ is given in Australian dollars as follows:

Assets			Liabilities and Equity	
Cash	441		A/P	210
A/R	330		Common Stock	720

Supplies	291		Retained Earnings	600
Fixed Assets	<u>468</u>			
Total Assets	<u>1,530</u>		Total Liab. & Equity	<u>1,530</u>

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Question ID: 1586133

On APJ's 2005 income statement, the level of net income in U.S. dollars would be:

- A) \$200.00.
 - B) \$240.00.
 - C) \$300.00.
-

Question #24 - 26 of 126

Question ID: 1586134

On APJ's 2005 balance sheet, the level of common stock (not including retained earnings) in U.S. dollars would be:

- A) \$360.
 - B) \$288.
 - C) \$240.
-

Question #25 - 26 of 126

Question ID: 1586135

On APJ's 2005 balance sheet, the foreign currency translation adjustment in U.S. dollars would be:

- A) -\$220.
 - B) -\$160.
 - C) -\$280.
-

Question #26 - 26 of 126

Question ID: 1586136

Which one of the following statements correctly describes the effect on Dell's financial statements if the U.S. dollar had been chosen as the functional currency?

- A)** The current rate method would apply.
 - B)** The translation adjustment would appear as a line item on Dell's income statement.
 - C)** The translation adjustment would appear as a line item on Dell's balance sheet.
-

Question #27 of 126

Question ID: 1472528

Which of the following statements is *least* accurate regarding accounting for foreign currency translations? The:

- A)** current rate method applies the current exchange rate to all balance sheet accounts.
 - B)** current rate method applies the average exchange rate to all income statement accounts.
 - C)** temporal method uses the historical exchange rate to translate non-monetary assets and liabilities into the currency of the country of the parent company.
-

Question #28 of 126

Question ID: 1472526

Which of the following statements regarding the foreign currency translation under US GAAP is *least* accurate? The functional currency is the:

- A)** subsidiary's local currency for self-contained, independent foreign subsidiaries.
 - B)** parent firm's home currency for self-contained independent foreign subsidiaries.
 - C)** parent firm's home currency if the foreign subsidiary operates in a country with high inflation.
-

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Question ID: 1472544

Portinta Inc, a U.S. based pharmaceutical company, has a UK based subsidiary, Medaze plc. The U.S. dollar has been appreciating relative to GBP over the past year. Using the current-rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the long-term debt to equity ratio relative to what the ratio would have been without the effects of translation?

- A)** The ratio will be the same.
 - B)** The ratio will be lower.
 - C)** The ratio will be higher.
-

Question #30 of 126

Question ID: 1472539

Regarding the different methods of consolidating foreign subsidiaries' operating results, it would be *most* accurate to state that:

- A)** under the temporal method, monetary assets and monetary liabilities are translated at a historical exchange rate.
 - B)** under the current rate method, revenues and expenses are translated at the exchange rate that existed when the underlying transaction occurred.
 - C)** under the current rate method, individual components of stockholder's equity are translated at the current exchange rates.
-

Navratov Corp. is a designer and manufacturer of high end sporting goods. The majority of the firm's business comes from Olympic athletes from Russia and the United States. On January 1, 2003, Navratov was purchased by a U.S. competitor, Evert Industries. Because Evert's business focuses on professional athletes in North America and Asia, Evert's management feels the acquisition of Navratov is a natural extension of their business and that buying the Russian firm should generate economies of scale.

Peter Capriati is an analyst for Evert and has been assigned the task of integrating Navratov's financial statements into Evert's. Capriati knows that Evert's management pays a great deal of attention to making sure the firm's financial ratios are above the industry average. Because Navratov's sales are split evenly between the U.S. and Russia, management has given him the flexibility to designate the either the Ruble (Navratov's local currency) or the U.S. dollar (Evert's reporting currency) as Navratov's functional currency. As a result of choosing the functional currency, Capriati will use either the temporal or current

rate method to convert Navratov's financial statements, depending on which method will have the most favorable impact on Evert's financial ratios.

Selected financial data for Navratov Corp is shown below:

Navratov Corporation Income Statement (in Russian Rubles) 12 months ended December 31, 2003	
Revenue	7,400,000
Cost of Goods Sold (COGS)	(5,200,000)
Depreciation	(1,200,000)
Taxes	(250,000)
Net Income	750,000

Navratov Corporation				
Balance Sheet (in Russian Rubles)				
December 31, 2002				
Assets			Liabilities and Equity	
Cash	500,000		Accounts Payable	3,450,000
Accounts Receivable	2,500,000		Long Term Debt	5,000,000
Inventory	3,700,000		Common Stock	3,500,000
Net Fixed Assets	6,000,000		Retained Earnings	750,000
Total Assets	12,700,000		Total Liabilities and Equity	12,700,000

Navratov Corporation Balance Sheet (in Russian Rubles) December 31, 2003			
Assets			Liabilities and Equity

Cash	1,000,000		Accounts Payable	2,000,000
Accounts Receivable	2,500,000		Long Term Debt	5,000,000
Inventory	3,700,000		Common Stock	3,500,000
Net Fixed Assets	4,800,000		Retained Earnings	1,500,000
Total Assets	12,000,000		Total Liabilities and Equity	12,000,000

- Navratov Corp. did not pay dividends in 2003.
- The common stock was acquired on January 1, 2002.
- January 1, 2003 retained earnings in USD is \$300,000.
- Depreciation is being taken on a straight-line basis over ten years for equipment which was acquired on January 1, 2002, at a cost of 12,000,000 rubles.
- Navratov uses FIFO inventory accounting and goods were sold evenly throughout the year. The average rate applicable to inventory and COGS is \$0.37 / ruble.

Exchange rates:

- January 1, 2002, \$0.40 / ruble
- January 1, 2003, \$0.40 / ruble
- June 30, 2003, \$0.37 / ruble (avg. rate)
- December 31, 2003, \$0.33 / ruble

Question #31 - 34 of 126

Question ID: 1586108

Which of the following statements about the temporal method and the current rate method is *least* accurate?

- A) Net income is generally more volatile under the temporal method than under the current rate method.
- B) Subsidiaries that operate in highly inflationary environments will generally use the temporal method under U.S. GAAP.
- C) Subsidiaries whose operations are well integrated with the parent will generally use the current rate method.

Question #32 - 34 of 126

Question ID: 1586109

If Capriati uses the current rate method to translate Navratov's income statement, the net profit margin will be:

- A)** 11.7%.
 - B)** 8.6%.
 - C)** 10.1%.
-

Question #33 - 34 of 126

Question ID: 1586110

What is the difference in the translated receivables turnover ratio for Navratov Corp. between the temporal and current rate methods? The receivables turnover rate is:

- A)** the same under both methods.
 - B)** higher under the current rate method by 0.36x.
 - C)** lower under the current rate method by 0.30x.
-

Question #34 - 34 of 126

Question ID: 1586111

What is the difference in the total asset turnover ratio for Navratov Corp. between the temporal and current rate methods? The total asset turnover ratio is:

- A)** higher under the current rate method.
 - B)** lower under the current rate method.
 - C)** the same under both methods.
-

Question #35 of 126

Question ID: 1472555

The U.S. dollar (i.e., the reporting currency) has been depreciating relative to the local currency over the past year. The use of the current rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on return on equity (ROE) based on ending equity relative to what the ratio would have been without the effects of translation?

- A)** ROE will most likely decline.
 - B)** The impact of the depreciation of the US dollar on ROE is indeterminate.
 - C)** ROE will most likely rise.
-

Question #36 of 126

Question ID: 1472562

Which of the following measures is unaffected by the choice between translation under the current rate method and remeasurement under the temporal method?

- A)** Equity.
 - B)** Cost of goods sold.
 - C)** Tax expense.
-

Question #37 of 126

Question ID: 1472560

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The Swiss franc (SF) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the FIFO inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The translated value of common stock and long-term debt respectively are:

- A)** \$5,902 and \$3,075.
- B)** \$6,150 and \$3,075.
- C)** \$5,902 and \$3,001.

Deborah Ortiz, CFA®, is the director of Global Research for F.E. Horton & Co. Ortiz recently hired two junior analysts, Tina Hiraue and Dominique Wilkins to assist in the financial statement analysis of global conglomerates. Hiraue and Wilkins are both Level II candidates in the CFA® Program, so Ortiz thought they would be the ideal people to work on a project dealing with consolidating the results of foreign operating units in the financial statements of the global parent.

Before starting on the project, Ortiz has a meeting with Hiraue and Wilkins to discuss the use of different currencies in a company's operations. At the meeting, Hiraue states that

when analyzing multinational firms, there cannot be a difference between local and functional currencies. Wilkins disagrees with her and states that there can be a difference between local and functional currencies, but only if the parent of the subsidiary operates in a hyperinflationary environment. After another 30 minutes of discussion, Ortiz concludes the meeting by telling them to make sure they understand the different accounting rules for remeasurement and translation, under SFAS 52.

Hirauye and Wilkins are given projects involving two different firms:

- Molsan Industries is a Canadian multinational firm with a subsidiary in Japan. The subsidiary has operations in both Japan and Singapore.
- Neslarone is based in Switzerland and generates the majority of its cash in Swiss Francs (CHF). The firm issues and prepares its consolidated financial statements in U.S. dollars.

Hirauye and Wilkins spend the morning reviewing the details of their assignment and decide to take a break for lunch at a restaurant across the street from F.E. Horton & Co.'s headquarters. They agree that they have a challenging task and both are nervous about turning in their consolidated financial statements to Ortiz on the following day.

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Question ID: 1472491

Regarding the statements made at the meeting:

- A)** Hirauye's statement is incorrect; Wilkins' statement is correct.
 - B)** Hirauye's statement is incorrect; Wilkins' statement is incorrect.
 - C)** Hirauye's statement is correct; Wilkins' statement is correct.
-

Question #39 - 41 of 126

Question ID: 1472492

Hirauye is working on consolidating the financial statements of Molsan Industries' Japanese subsidiary. Under SFAS 52, regarding *Foreign Currency Translation*, if:

- more than half of the subsidiary's revenue is from Japanese sources, then the
- A)** results of the Singapore operation are translated into Japanese yen and then translated into Canadian dollars.

management determines that the subsidiary's functional currency is the Japanese yen, the results of the Singapore operation are first remeasured into Japanese yen and then translated into Canadian dollars.

management determines that the subsidiary's functional currency is the Singapore dollar, then the results of the Singapore operation are remeasured into Canadian dollars.

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Question ID: 1472493

Ortiz had told the junior analysts to make sure they understand the different accounting rules under SFAS 52. When referring to foreign exchange rates, the difference between remeasurement and translation is that remeasurement:

- A) refers to the conversion of local currency into the functional currency; translation is the conversion of the functional currency into the reporting currency.
 - B) and translation refer to the same process of translating the functional currency into the reporting currency.
 - C) is used to describe historical exchange rates while translation is used for current rates.
-

Question #41 - 41 of 126

Question ID: 1472494

Wilkins and Hirauye are working on constructing the consolidated statements for Neslarone. They know that after they convert from Swiss Francs (CHF) to U.S. dollars (USD), they will be left with a foreign currency adjustment that needs to be included on the financial statements. To convert from CHF to USD, the analysts should use the:

- A) current rate method and they should record the foreign currency adjustment on the balance sheet.
 - B) current rate method and they should record the foreign currency adjustment on the income statement.
 - C) temporal method and they should record the foreign currency adjustment on the income statement.
-

Scud Co. is a Swiss subsidiary of the U.S. firm Patriot, Inc. On December 31, 2012 the \$/SF exchange rate was 0.77. (Each Swiss Franc buys 77 cents) and is the historical rate applicable for fixed assets and common stock. One year later the Swiss Franc had appreciated to 0.85 \$/SF. Scud Co. pays no dividends. The average exchange rate for the year was 0.80 \$/SF. Scud pays no taxes. Assume that inventory is accounted for using the last in, first out (LIFO) inventory assumption and was bought and sold evenly throughout the year.

Scud Co. Int'l		
Balance Sheet (in SF thousands)		
	Dec. 31, 2012	Dec. 31, 2013
Cash & accounts receivables (A/R)	400	600
Inventory	500	500
Net Fixed Assets	700	600
Total Assets	<u>1,600</u>	<u>1,700</u>
Accounts payable (A/P)	100	200
Long-term debt	200	100
Common Stock	1,300	1,300
Retained Earnings	0	100
Total Liabilities	<u>1,600</u>	<u>1,700</u>

Income Statement (in SF thousands)	
December 31, 2013	
	In SF
Sales	7,000
Cost of Goods Sold (COGS)	(6,800)
Depreciation	<u>(100)</u>
Translation Gain/Loss	--
Net Income	100

Assume that the functional currency is the U.S. dollar when answering the following questions.

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Question ID: 1586088

After remeasurement, depreciation will be *closest* to:

- A) \$85.
 - B) \$77.
 - C) \$80.
-

Question #43 - 45 of 126

Question ID: 1586089

The value of common stock on the 2013 balance sheet should be *closest* to:

- A) \$1,000.
 - B) \$1,100.
 - C) \$1,050.
-

Question #44 - 45 of 126

Question ID: 1586090

For Scud Co. under the temporal method, the monetary exposures and the foreign currency movements resulted in a:

- A) cumulative translation adjustment gain on the balance sheet.
 - B) remeasurement loss on the income statement.
 - C) remeasurement gain on the income statement.
-

Question #45 - 45 of 126

Question ID: 1586091

If Scud Co.'s functional currency is the Euro, then to adjust the currency exposure to the parent's currency, the US\$, start with the:

- Euro and use the current rate method to convert to the local currency, the Swiss
- A) franc; then use the temporal method to convert to the presentation currency, the US\$.

Swiss franc and use the current rate method to convert to the functional currency,
B) the Euro; then use the temporal method to convert to the presentation currency,
the US\$.

Swiss franc and use the temporal method to convert to the functional currency, the
C) Euro; then use the current rate method to convert to the presentation currency, the
US\$.

Question #46 of 126

Question ID: 1472561

Which example *least accurately* describes pure balance sheet and income statement ratios?

- A)** All pure balance sheet ratios are affected by the all-current translation method.
- B)** The current ratio is a pure balance sheet ratio.
- C)** When multiplying both the numerator and denominator by the current exchange rate, the current rate is cancelled.

The Precision Screen Printers (PSP) Company has a foreign subsidiary, the Acer Tool & Die Company, located in the country of Rolivia. The currency of Rolivia is the Chad. The balance sheet and income statement of Acer Tool & Die Company for the year-ended December 31, 2005, is shown below. The balance sheet has been restated using the U.S. dollar as the functional currency.

Acer Tool & Die Company Balance Sheet As of December 31, 2005			
	Chad	Exchange Rate	U.S. \$
	(millions)	(Chad/US\$)	(millions)
Cash	20	0.25	\$80
Accounts receivable	30	0.25	120
Inventory	100	0.3125	320
Fixed assets (net)	<u>500</u>	0.3333	<u>1,500</u>
Total assets	650		\$2,020
Accounts payable	50	0.25	\$200

Capital stock	380	0.3333	1,140
Retained earnings	<u>220</u>	--	<u>680</u>
Total liabilities and equity	650		\$2,020

Acer Tool & Die Company Income Statement

For year ending December 31, 2005

(Amounts in millions of Chad)

Revenues	1,000
Cost of sales	700
Depreciation expense	50
Selling expense	<u>30</u>
Translation gain (or loss)	
Net income	220

Acer has determined that the exchange rate exposure at the beginning of 2005 is –260 Chad.

The exchange rate at the beginning of 2005 was 0.3333 Chad/US\$ and that is the historical rate applicable to beginning inventory of 90 Chad. The exchange rate at the end of 2005 was 0.25 Chad/US\$. The average rate for 2005 is 0.3125 Chad/US\$. Purchases occurred evenly throughout the year. Acer Tool & Die uses FIFO inventory valuation and depreciates fixed assets using the straight-line method. Assume that retained earnings at year end 2004 were zero, the historical exchange rate for depreciation is 0.333, and no dividends were paid during 2005.

Question #47 - 48 of 126

Question ID: 1472553

What is Acer Tool & Die's cost of sales in U.S. dollars using the temporal method?

- A)** \$2,240.00
- B)** \$2,222.00
- C)** \$2,242.00

Question #48 - 48 of 126

Question ID: 1472554

What is the remeasurement gain or loss for the period using the temporal method?

- A)** \$50 gain.
 - B)** \$32 loss.
 - C)** \$52 loss.
-

Question #49 of 126

Question ID: 1472548

Where does the currency translation gain or loss appear in the financial statements under the temporal method and the current rate method?

- | | <u>Temporal</u>
<u>method</u> | <u>Current rate</u>
<u>method</u> |
|-----------|----------------------------------|--------------------------------------|
| A) | Balance sheet | Balance sheet |
| B) | Income
statement | Balance sheet |
| C) | Balance sheet | Income
statement |
-

Question #50 of 126

Question ID: 1472537

The U.S. Deter Company operates a subsidiary in the UK, and the functional currency is the British pound. The subsidiary's 2001 income statement shows £500 of net income and a £50 dividend that was paid on December 31, when the exchange rate was \$1.50 per pound. The current exchange rate is \$1.65 per pound, and the average rate is \$1.58 per pound. What is the change in retained earnings for the period in U.S. dollars under U.S. GAAP?

- A)** \$750.
- B)** \$725.
- C)** \$715.

Question #51 of 126

Question ID: 1472497

A German company (reporting currency = Euro) owns a foreign subsidiary in the U.S. If the results below are reported in local currency (USD), after translation what is the effect of the change in the exchange rate on revenues? Round to the nearest dollar and/or percent.

Year	Sales	\$ per 1 Euro avg. Exchange Rate
2001	\$10,000	0.9
2002	\$10,000	0.8

- A)** The company shows a 12.5% growth in revenues in 2002.
- B)** The company shows a 0.1% decline in revenues in 2002.
- C)** There is no change is revenue growth between 2001 and 2002.

Hise Home Supply is a large, profitable home improvement retailer located in the United Kingdom. Hise has recently been acquiring niche retailers with popular brand names in certain segments of the home improvement market. One of these retailers was Wilson Tile and Stone, a U.S. business that derived a large part of its sales from the UK.

The management team for Hise now makes all operating, financing, and investment decisions. Brian Heltzel, a financial analyst for Hise, is responsible for translating Wilson's financial statements from U.S. dollars to the reporting currency. Hise conducts its business and issues financial statements in British pounds (£). Extracts from the financial statements of Wilson are shown below in Exhibit 1.

Exhibit 1: Wilson Financial Statement Extracts

Wilson Tile and Stone – December 31, 20X7 and 20X8 Balance Sheets		
	20X7	20X8
Cash	\$1,200	\$1,400
Accounts receivable	6,500	9,900
Inventory	<u>10,400</u>	<u>12,400</u>

Current assets	\$18,100	\$23,700
Fixed assets	40,000	40,000
Accumulated depreciation	<u>10,000</u>	<u>15,000</u>
Net fixed assets	\$30,000	\$25,000
TOTAL ASSETS	\$48,100	\$48,700
Accounts payable	\$5,000	\$6,000
Current portion of LT debt	1,500	1,500
Long term debt	<u>25,000</u>	<u>23,500</u>
Total liabilities	\$31,500	\$31,000
Common stock	10,000	10,000
Retained earnings	<u>6,600</u>	<u>7,700</u>
Total equity	\$16,600	\$17,700
TOTAL LIABILITIES and EQUITY	\$48,100	\$48,700

Wilson Tile and Stone – 20X8 Income Statement	
Revenue	\$75,000
Cost of goods sold	<u>(60,000)</u>
Gross margin	\$15,000
Other expenses	(2,300)
Depreciation expense	(5,000)
Net Income	7,700

Wilson uses the FIFO method for inventory accounting.

Applicable exchange rates are as follows:

- December 31, 20X7: £1.00 = \$1.60
- December 31, 20X8: £1.00 = \$1.80
- Average for 20X8 = £1.00 = \$1.70
- Historical rate for fixed assets, inventory, and equity: £1.00 = \$1.50
- Dividend declaration date: £1.00 = \$1.75.

Heltzel is also using some information that has been provided by the accounts department of Wilson. He made the notes shown below in Exhibit 2 from an email the accounts department sent.

Exhibit 2: Accounting Department Notes

20X8 income before remeasurement gain/loss	£4,138
Dividends paid during the year	£2,250
Opening retained earnings	£5,150
Ending retained earnings	£7,323

Hertzell has also discussed the future of Wilson's role in the group with board members from both Wilson and Hise. These discussions resulted in a concern as outline below.

Concern

Wilson's board have warned Heltzel that they are likely to engage in transactions next year which will lead to significant deferred revenue balances remaining on the balance sheet at the year end.

Question #52 - 55 of 126

Question ID: 1586123

As Heltzel is translating the balance sheet and income statement, which of the following are closest to the values Heltzel determines for revenues and accounts payable for 20X8?

<u>Revenues</u>	<u>Accounts Payable</u>
A) £41,667	£3,333
B) £44,118	£3,529
C) £44,118	£3,333

Question #53 - 55 of 126

Question ID: 1586124

If Wilson assumes the numbers in Exhibit 2 are correct, the remeasurement gain/loss for 20X8 will be closest to:

- A) £285.
 - B) -£77.
 - C) £1,012.
-

Question #54 - 55 of 126

Question ID: 1586125

Which of the following treatments is most likely correct regarding the items outlined in Heltzel's concern?

- A) The balance should be translated at the historic rate as it is a monetary item.
 - B) The balance should be translated at the closing rate as it is a monetary item.
 - C) The balance should be translated at the historic rate as it is a non-monetary item.
-

Question #55 - 55 of 126

Question ID: 1586126

Which of the following statements regarding the treatment of subsidiaries in a hyper-inflationary environment under U.S. GAAP is most likely correct?

- A) The subsidiary should be translated using the temporal method regardless of the level of autonomy, and then no further restatement is required.
 - B) The subsidiary should be translated using the temporal method regardless of the level of autonomy, and non-monetary items restated for the effect of local inflation.
 - C) The subsidiary should be translated using the current rate method regardless of the level of autonomy, and non-monetary items restated for the effect of local inflation.
-

Question #56 of 126

Question ID: 1472547

Hann Company is a U.S. multinational firm with operations in several foreign countries. Hann has a 100% stake in a French subsidiary. The foreign subsidiary's local currency has appreciated against the U.S. dollar over the latest financial statement reporting period. In addition, the French firm accounts for inventories using the first in, first out (FIFO) inventory cost-flow assumption. The gross profit margin as computed under the current rate method would *most likely* be:

- A)** higher than the gross profit margin as computed under the temporal method.
- B)** equal to the gross profit margin as computed under the temporal method.
- C)** lower than the gross profit margin as computed under the temporal method.

Wasson Brothers (WB) is a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan and manufactures a hugely successful line of trading cards, toys, and other related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in Yen/dollars.

Yen/Dollar Exchange Rate	
December 31, 2005	150
December 31, 2004	130
2005 Average	140
2004 Average	120
Exchange rate on date that 2005 dividends were declared by Kasmatsu	145
Exchange rate on date of stock issue and acquisition of fixed assets.	100

Ashley Jameson is an analyst with Henderson-Wells, an investment banking firm in New York, and is the chief analyst covering WB. She believes that the enormous success of the trading cards has contributed greatly to WB's bottom line. However, she believes that this effect may be misstated in the company's financial statements because of the recent volatility in exchange rates. Many analysts at other major investment banking firms have been raising their ratings on WB because of the recent earnings growth. Jameson, however,

wants to be absolutely certain that these results are accurate and fully attributable to Kasamatsu's hot new product and not a result of an exchange rate fluctuation. The following are the financial statements of Kasamatsu, stated in thousands of yen.

Financial Statements for Year Ending December 31, 2005			
(in thousands of yen)			
Statement of Income and Retained Earnings			
Sales			
			700,000
Expenses			
	Cost of Goods Sold (COGS)		280,000
	Depreciation		126,000
	SG&A		<u>77,000</u>
		Total Expenses	483,000
Earnings Before Taxes (EBT)			217,000
Income Tax Expense			<u>98,000</u>
Net Income			119,000
Retained Earnings: December 31, 2004			<u>250,000</u>
			369,000
Dividends			<u>58,000</u>
Retained Earnings: December 31, 2005*			311,000
* Retained earnings on 12/31/2005 were US \$2million			

Balance Sheet		
Assets		
	Cash and receivables	60,000
	Inventory	180,000
	Land	200,000
	Fixed assets	<u>346,000</u>

		Total assets	786,000
Liabilities and stockholders' equity			
	Liabilities		300,000
	Capital stock		175,000
	Retained earnings		<u>311,000</u>
		Total liabilities and stockholders' equity	786,000

Question #57 - 58 of 126

Question ID: 1472535

Before Jameson can perform any financial statement analysis she needs to determine which method WB uses to translate Kasamatsu's earnings into U.S. dollars (USD). Which of the following is the *most* appropriate method to use?

- A) The current rate method.
 - B) The temporal method.
 - C) First the temporal method, followed by the current rate method.
-

Question #58 - 58 of 126

Question ID: 1472536

Jameson must also determine how the fluctuation in the yen vs. the dollar has affected Kasamatsu's earnings in the reporting currency. Which of the following *best* describes the effect of changes in the yen/dollar rate has had on earnings in the reporting currency?

Earnings have:

- A) decreased because the yen is depreciating versus the USD.
 - B) increased because the yen is appreciating versus the USD.
 - C) increased because the yen is depreciating versus the USD.
-

Question #59 of 126

Question ID: 1472558

Which of the following statements concerning the translation of a subsidiary's financial statement and the subsidiary's ratios is *least* accurate?

- A)** Ratios calculated under the current rate method will not differ from those calculated under the temporal method.
 - B)** The statement of cash flows is not affected by the choice of translation.
 - C)** The subsidiary's ratios in the local currency will differ from ratios calculated after translation.
-

Question #60 of 126

Question ID: 1472564

In a hyperinflationary economy, translation under the current rate method will *most likely* result in relatively:

- A)** high balance sheet values for long term assets.
 - B)** high translation gains.
 - C)** low balance sheet values for long term liabilities.
-

Question #61 of 126

Question ID: 1472495

Sycamore Systems sold \$5 million worth of software on December 1, 20X1 to a Japanese company with payment denominated in Japanese yen to be received in two months. Sycamore's year end is 31st December. Payment was received on 31 Jan 20X2.

Exchange rates	(1 USD)
1 Dec 20X1	95
31 Dec 20X1	90
31 Jan 20X2	35

The amount of transaction gain/loss recorded by Sycamore on its income statement for the year ending 31 Dec 20X1 is *closest* to:

- A)** gain of \$280,000.
- B)** gain of \$580,000.

C) loss of \$300,000.

Question #62 of 126

Question ID: 1472532

Which of the following statements regarding foreign currency translation are *least* accurate?
Under the:

- A) temporal method, COGS and depreciation are remeasured using the historical rate.
- B) current rate method, the foreign currency translation gain or loss appears on the parent firm's income statement.
- C) temporal method, sales are remeasured using the average rate.

Giant Company is a U.S. firm that produces parts for nuclear reactors. Giant Company has a subsidiary, Grande, Inc., that operates in Mexico and is responsible for designing and manufacturing connection fittings that are vital for the proper operation of its parent company's reactors.

- Giant Company considers the U.S. dollar to be the functional currency of Grande, Inc.
- Grande, Inc., began operations January 1, 2001.
- Common Stock and Fixed Assets were acquired January 1, 2000.
- Inventory is accounted for under the last in, first out (LIFO) cost flow assumption, and was purchased evenly through the year.
- The inventory in the January 1, 2001, Balance Sheet was acquired on January 1, 2001.

Exchange Rates were:	January 1, 2000	\$0.14/M peso
	January 1, 2001	\$0.12/M peso
	June 30, 2001	\$0.11/M peso (this is the 2001 average rate)
	December 31, 2001	\$0.10/M peso

Grande, Inc.		
Balance Sheet (in M Pesos)		
	Jan. 1, 2001	Dec. 31, 2001
Cash	5,000,000	20,000,000

Accounts Receivable	20,000,000	35,000,000
Inventory	15,000,000	15,000,000
Fixed Assets (net)	70,000,000	60,000,000
Accounts Payable	10,000,000	10,000,000
Long Term Debt	40,000,000	35,000,000
Common Stock	80,000,000	80,000,000
Retained Earnings		5,000,000
2001 Income Statement		
(in M Pesos)		
Sales		60,000,000
Cost of Goods Sold		(45,000,000)
Depreciation		(10,000,000)
Net Income		5,000,000

Question #63 - 66 of 126

Question ID: 1586098

Giant Company should use the following method to reflect the results of Grande, Inc., in its financial statements:

- A)** the temporal method followed by the current rate method.
 - B)** the current rate method.
 - C)** the temporal method.
-

Question #64 - 66 of 126

Question ID: 1586099

Which of the following statements regarding the current rate method is the *most* accurate?

- A)** This method is not typically used when the subsidiary is relatively independent of the parent.
- B)** Translation gains and losses are reported in equity.

C) Income statements items are translated at the current exchange rate.

Question #65 - 66 of 126

Question ID: 1586100

The translation gain or loss from the activities of Grande, Inc., should be reported in:

- A) the statement of shareholder's equity.
 - B) the statement of cash flows.
 - C) the income statement.
-

Question #66 - 66 of 126

Question ID: 1586101

Revenues for 2001 translated into U.S. dollars amount to:

- A) \$6,000,000.
 - B) \$7,800,000.
 - C) \$6,600,000.
-

Question #67 of 126

Question ID: 1472529

Which of the following statements is *NOT* a characteristic of the current rate method of accounting for foreign currency translation?

- A) All asset accounts are translated at the current rate of exchange as of the balance sheet date.
 - B) The common stock account is translated at the rate of exchange that applied when the equity was issued.
 - C) Nonmonetary liabilities are translated at the historical rate of exchange.
-

Della Air Lines has recently acquired Australian Puddle Jumpers, Inc. (APJ), a small airline located in Sydney. The Australian dollar has been chosen by Della as the functional currency for APJ. The balance sheet of APJ is given below as of Dec. 31, 2011 in U.S. dollars.

Assets		Liabilities and Equity	
Cash	\$100	Accounts Payable (A/P)	\$90
Accounts Receivable (A/R)	120	Common Stock	360
Maintenance Supplies	90		
Fixed Assets	140		
Total Assets	\$450	Total Liabilities & Equity	\$450

APJ's income statement for the year ending Dec. 31, 2012 is expressed in Australian dollars as:

Sales	3,500
Total Costs	<u>2,900</u>
Net Income	600

The Australian dollar has steadily depreciated against the U.S. dollar. At Dec. 31, 2011, the exchange rate was A\$/US\$ 2.50, the average rate during the year was A\$/US\$ 2.75 and A\$/US\$ 3.0 on Dec. 31, 2012.

The Dec. 31, 2012 Balance Sheet for APJ is given in Australian dollars as follows:

Assets		Liabilities and Equity	
Cash	441	A/P	210
A/R	330	Common Stock	720
Supplies	291	Retained Earnings	600
Fixed Assets	468		
Total Assets	<u>1,530</u>	Total Liabilities & Equity	<u>1,530</u>

Question #68 - 71 of 126

Question ID: 1472512

On APJ's 2012 income statement, the level of sales in U.S. dollars would be *closest* to:

- A) \$1,985.
- B) \$1,272.
- C) \$1,377.

Question #69 - 71 of 126

Question ID: 1472513

On APJ's 2012 balance sheet, the level of accounts receivable is U.S. dollars would be *closest* to:

- A) \$110.
 - B) \$132.
 - C) \$330.
-

Question #70 - 71 of 126

Question ID: 1472514

For APJ, the conversion to US\$ is *most likely* to result in:

- A) remeasurement gain.
 - B) cumulative translation adjustment loss.
 - C) cumulative translation adjustment gain.
-

Question #71 - 71 of 126

Question ID: 1472515

If the functional currency is the reporting currency, the exposure and the foreign currency movements are *most likely* to result in a:

- A) remeasurement loss.
 - B) cumulative translation adjustment loss.
 - C) remeasurement gain.
-

Question #72 of 126

Question ID: 1472543

Hann Company is a U.S. multinational firm with operations in several foreign countries. Hann has a 100 percent stake in a French subsidiary. The foreign subsidiary's local currency has appreciated against the U.S. dollar over the latest financial statement reporting period. In addition, the French firm accounts for inventories using the FIFO inventory cost-flow assumption. The net profit margin as computed under the current rate method would *most likely* be:

- A)** higher than the same ratio computed under the temporal method.
 - B)** either higher or lower than the same ratio computed under the temporal method.
 - C)** lower than the same ratio computed under the temporal method.
-

Question #73 of 126

Question ID: 1472572

Sopgate is a manufacturer of branded fast moving consumer goods having business operations in 28 countries (in each country, Sopgate has a wholly owned local subsidiary for production and/or distribution). Following information is available from Sopgate's annual report:

Region	Revenue Growth (USD)*	Growth in pre-tax profits (USD)*	Tax rate
Latin America	5%	4%	25%
North America	3%	3%	35%
Europe	2%	-1%	45%
Asia pacific	4%	6%	20%

*Growth rate indicates expected growth rate over the next five years.

Sopgate's effective tax rate is *most likely* expected to:

- A)** increase.
 - B)** remain unchanged.
 - C)** decrease.
-

Question #74 of 126

Question ID: 1472541

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The U.S. dollar (USD) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the weighted-average inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The total value of net monetary assets is equal to:

- A)** -4,000 SF.
- B)** 12,000 SF.
- C)** 3,000 SF.

Question #75 of 126

Question ID: 1472488

Which of the following statements describing the choice of the functional currency is *least* accurate? The functional currency should be the same as the parent's reporting currency if the subsidiary is:

- A)** highly integrated with the parent where the local currency, prices, and some costs are controlled or restricted.
- B)** mostly independent from the parent.
- C)** highly integrated with the parent where the local currency, prices, and some costs are not controlled or restricted.
-

Question #76 of 126

Question ID: 1472574

A company is exposed to foreign exchange risk due the impact of changes in currency values on a:

- A)** company's assets and liabilities only.
- B)** company's assets, liabilities, and future sales.
- C)** company's assets only.
-

Question #77 of 126

Question ID: 1472566

Which of the following asset or liability values is likely to be the *most* understated in a hyperinflationary economy if translation occurs under the current rate method?

- A)** A plant purchased several years ago.
- B)** Dividends payable.
- C)** Accounts receivable.
-

Question #78 of 126

Question ID: 1472499

Edmonton Oilfield Supply has made an equipment sale in Venezuela in the amount of VEF 15,000,000. On the day of the sale, the exchange rate is 1.7519 VEF per 1 Canadian dollar. 90 days later, when the Venezuelan firm pays for the equipment, the exchange rate is 1.6326. As a result of the change in the exchange rate, Edmonton will recognize a:

- A)** gain of \$1,096,104.

B) loss of \$1,789,500.

C) gain of \$625,666.

Question #79 of 126

Question ID: 1472570

(Assume U.S. GAAP for this question.) For a subsidiary in a hyperinflationary economy, the functional currency should be the:

A) Parent's currency.

B) Local currency.

C) Subsidiary's operating currency.

A U.S. company has a subsidiary based in Malaysia, which has the following income statement for 20X6 and balance sheets for 20X5 and 20X6 (in million Ringgit).

Sales	1,000
Cost of goods sold	600
Depreciation	80
Operating expenses	120
Earnings before taxes	200
Taxes	60
Net income	140
Dividends	20

	20X5	20X6
Cash	50	60
Accounts receivables	100	110
Inventories	100	110
Other current assets	100	110
Gross PP&E	700	800

Less accumulated depreciation	70	150
Net PP&E	630	650
Other fixed assets	20	40
Total assets	1,000	1,080
Account payable	70	80
Current portion of LTD	100	100
Notes payable	100	150
Other current liabilities	30	30
Long-term debt	300	200
Common stock	100	100
Paid in capital	50	50
Retained earnings	250	370

The value of the Ringgit at various times over the past two years is as follows:

January 1, 20X5	\$0.37
April 1, 20X5	\$0.38
December 31, 20X5	\$0.40
June 30, 20X6	\$0.47
December 31, 20X6	\$0.50
Average for 20X5	\$0.39
Average for 20X6	\$0.45

The common stock and long-term debt were originally issued in January of 20X5. The fixed assets and first inventory purchases were made in April of 20X5. Additional fixed asset purchases were made in June 20X6. Inventory is measured using the FIFO method. It can be assumed that all of the ending inventory was acquired in June when the last major purchase was made. The operations of the subsidiary are independent from the operations of the U.S. parent. Inflation over the past three years has averaged 15% per year.

The amount of 20X6 cost of goods sold in USD is:

(Note: if needed, use \$0.40 as the rate to convert 20X5 ending inventory)

- A)** \$300,000,000.00
 - B)** \$262,800,000.00
 - C)** \$270,000,000.00
-

Question #81 - 83 of 126

Question ID: 1586114

The value of December 31, 20X6, gross property, plant, and equipment reported in USD is:

- A)** \$313,000,000.
 - B)** \$400,000,000.
 - C)** \$304,000,000.
-

Question #82 - 83 of 126

Question ID: 1586115

The value of December 31, 20X6, inventory reported in USD is:

- A)** \$55,000,000.
 - B)** \$51,700,000.
 - C)** \$49,500,000.
-

Question #83 - 83 of 126

Question ID: 1586116

The value of all financing debt (notes payable, current portion of long-term debt, and long-term debt) on December 31, 20X6, reported in USD is:

- A)** \$225,000,000.
 - B)** \$171,000,000.
 - C)** \$202,500,000.
-

Question #84 of 126

Question ID: 1472569

A hyperinflationary economy is typically defined as one that has:

- A)** cumulative inflation that exceeds 100% over a twelve-year period.
 - B)** cumulative inflation that exceeds 100% over a three-year period.
 - C)** an inflation rate that exceeds 10% per year for three consecutive years.
-

Question #85 of 126

Question ID: 1472510

Which of the following general statements is *CORRECT* with respect to the temporal method?

Monetary assets are:

- A)** translated at the current rate.
 - B)** translated at the average rate.
 - C)** not translated.
-

Question #86 of 126

Question ID: 1472563

The Precision Screen Printers (PSP) Company has a foreign subsidiary, the Acer Tool & Die Company, located in the country of Rolivia. The currency of Rolivia is the Chad. The balance sheet and income statement of Acer Tool & Die Company for the year-ended December 31, 20X2, is shown below. The balance sheet has been restated using the U.S. dollar as the functional currency.

Acer Tool & Die Company Balance Sheet As of December 31, 20X2			
	Chad	Exchange Rate	U.S. \$
	(millions)	(Chad/US\$)	(millions)
Cash	20	0.25	\$80
Accounts receivable	30	0.25	120
Inventory	100	0.3125	320
Fixed assets (net)	<u>500</u>	0.3333	<u>1,500</u>
Total assets	650		\$2,020
Accounts payable	50	0.25	\$200
Capital stock	380	0.3333	1,140
Retained earnings	<u>220</u>	--	<u>680</u>
Total liabilities and equity	650		\$2,020

Acer Tool & Die Company Income Statement	
For year ending December 31, 20X2	
(Amounts in millions of Chad)	
Revenues	1,000
Cost of sales	700
Depreciation expense	50
Selling expense	<u>30</u>
Translation gain (or loss)	
Net income	220

The exchange rate at the beginning of 20X2 was 0.3333 Chad/US\$. The exchange rate at the end of 20X2 was 0.25 Chad/US\$. The average rate for 20X2 is 0.3125 Chad/US\$. Beginning inventory is 90 Chad, which was translated to \$270 on the 20X1 balance sheet. Acer Tool & Die uses FIFO inventory valuation and depreciates fixed assets using the straight-line method.

Purchases occurred evenly throughout the year. Assume that retained earnings at year-end 20X1 were zero, the historical exchange rate for depreciation is 0.333, and no dividends were paid during 20X2.

Using the current rate method for the Acer Tool & Die Company, what is the value of total assets after translation?

- A)** \$1,950.
 - B)** \$2,600.
 - C)** \$2,020.
-

Question #87 of 126

Question ID: 1472498

A Canadian firm owns a foreign subsidiary in the U.S. In 2002, sales were USD1,000,000 and the USD/CAD exchange rate was 0.6329. In 2003, sales were also USD1,000,000 but the exchange rate was 0.7484. What is the impact of the change in the value of the CAD on the parent company's translated sales? Sales will:

- A)** decline by 15%.
 - B)** decrease by 18%.
 - C)** increase by 18%.
-

Question #88 of 126

Question ID: 1472503

Which of the following statements is *least* accurate regarding the use of the temporal method for foreign exchange accounting?

- A)** Under the temporal method, the foreign exchange gain or loss is placed on the balance sheet in the equity section.
- B)** All monetary assets are translated at the current rate of exchange.

- C)** All nonmonetary assets and liabilities are translated at the historical rate of exchange.
-

Question #89 of 126

Question ID: 1472565

Under U.S. GAAP, the temporal method is preferred to the current rate method in hyperinflationary economies because the temporal method:

- A)** is easier to perform under hyperinflation.
 - B)** provides better conversions of subsidiary revenues.
 - C)** results in non-monetary asset values that are a better proxy for the economic values of those assets.
-

Question #90 of 126

Question ID: 1472508

Dave Iverson, CFA, is analyzing the recently released financial statement of Global Corp., a large multinational manufacturing company with production facilities across Europe and Southeast Asia. The company's choice of functional currency is not disclosed, but Iverson does notice that Global Corp. does not have any cumulative translation adjustments (CTA) on its balance sheet. Which of the following statements is *most* accurate based upon Iverson's observation?

- A)** The temporal method of foreign currency translation is used exclusively.
 - B)** The temporal method of foreign currency translation is used for at least some of its subsidiaries.
 - C)** The current rate method of foreign currency translation is used exclusively.
-

Question #91 of 126

Question ID: 1472501

Which of the following general statements is *most* accurate with respect to the temporal method? Nonmonetary assets are translated at:

- A)** the average rate during the year.

- B) the current rate.
 - C) historical rates at the time of the transaction.
-

Question #92 of 126

Question ID: 1472540

Gortal Inc., a U.S. company has a wholly owned subsidiary, Fortina GmbH, based in Germany. The U.S. dollar has been appreciating relative to the Euro over the past year. The use of the temporal method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the fixed-asset turnover ratio (S/FA) relative to what the ratio would have been without the effects of translation assuming no new fixed assets were purchased throughout the year?

- A) The ratio will be lower.
 - B) There will be no effect on the ratio.
 - C) The ratio will be higher.
-

Question #93 of 126

Question ID: 1472530

At what exchange rate are revenues and accounts receivable translated under the current rate method?

<u>Revenues</u>	<u>Accounts</u>
	<u>receivable</u>

- A) Average rate Historical rate
 - B) Average rate Current rate
 - C) Current rate Current rate
-

Question #94 of 126

Question ID: 1472502

Which of the following statements regarding the translation of a foreign subsidiary into the reporting currency is *most* accurate?

- A) A multinational firm with small liability balances generally has minimal foreign currency exposure on its balance sheet.
- B) If the functional currency is equal to the local currency, exchange gains and losses on translation will be recognized in the income statement.
- C) If the reporting currency is the functional currency, the temporal method is applied and exposure is equal to net monetary assets.

South Seas Inc, a subsidiary of Seven Seas Inc., reported its most recent performance in its local currency (LC) which is the functional currency. The reporting currency of Seven Seas is the U.S. dollar (USD). South Seas also paid a dividend of 16,000LC at year end, at which time the exchange rate was 2 LC/USD. Last year, Seven Seas reported balance sheet retained earnings of 90,000 USD for its South Seas subsidiary.

Rates	LC/US\$
Current rate	2.00
Average rate	2.20
Historical rate for common stock	2.50
Historical rate for COGS	2.30
Historical rate for depreciation	2.10
Historical rate for ending inventory	2.30
Historical rate for fixed assets	2.10

	LC
Revenues	520,000
Cost of Goods Sold (COGS)	225,000
SG&A	100,000
Depreciation	80,000
Income Taxes	46,000
Net Income	69,000

The balance sheet for South Seas is given below.

	LC
Cash	25,000
Accounts Receivable	30,000
Inventory	35,000
Net Fixed Assets	500,000
Total Assets	590,000
Accounts Payable	20,000
Long term debt	100,000
Common Stock	250,000
Retained Earnings	220,000
Total Liabilities & Equity	590,000

Question #95 - 98 of 126

Question ID: 1472517

What is the amount of income Seven Seas should report from its South Seas subsidiary?

- A) 34,500 USD.
- B) 31,400 USD.
- C) 27,600 USD.

Question #96 - 98 of 126

Question ID: 1472518

The currency translation adjustment that results from the translation of South Sea's data is *closest* to?

- A) Zero because there is no currency translation adjustment under the current rate method.
- B) -3,300 USD.
- C) 21,600 USD.

Question #97 - 98 of 126

Question ID: 1472519

If the temporal method is used, the retaining earnings is *closest* to:

- A) 21,600 USD.
 - B) 120,800 USD.
 - C) 90,000 USD.
-

Question #98 - 98 of 126

Question ID: 1489316

If the functional currency is the USD, then the net income before a translation gain/loss is *closest* to:

- A) 8,000 USD.
 - B) 4,700 USD.
 - C) 34,100 USD.
-

Question #99 of 126

Question ID: 1472538

Global International Corp. (GIC) has three subsidiaries: GIC Europe whose local currency is the euro and whose functional currency is the euro; GIC China whose local currency is the yuan and whose functional currency is the Hong Kong dollar; and GIC Bahamas whose local currency is the Bahamian dollar and whose functional currency is the U.S. dollar. GIC's reporting currency is the U.S. dollar. Which conversion methods should be used by GIC for each of its subsidiaries?

- A) The financial data for all three subsidiaries should be remeasured under the temporal method.
GIC Europe's data should be remeasured under the temporal method; GIC China's data should be remeasured under the temporal method into Hong Kong dollars, and then translated under the current rate method into U.S. dollars; and GIC Bahamas' data should be translated under the current rate method into U.S. dollars.
- B)

- c) GIC Europe's data should be translated under the current rate method; GIC China's data should be remeasured under the temporal method into Hong Kong dollars, and then translated under the current rate method into U.S. dollars; and GIC Bahamas' data should be remeasured under the temporal method into U.S. dollars.

Wasson Brothers (WB) is a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan. Kasamatsu manufactures a hugely successful line of trading cards, toys, and related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in yen/\$.

Yen/Dollar Exchange Rate	
December 31, 2013	150
December 31, 2012	130
2013 Average	140
2012 Average	120
Exchange rate on date that 2013 dividends were declared by Kasamatsu	145
Exchange rate on date of stock issue and acquisition of fixed assets.	100

Shelly Jameson is an analyst with Henderson-Wells, an investment banking firm in New York, and is the chief analyst covering WB. She believes that the enormous success of the trading cards has contributed greatly to WB's bottom line. However, Jameson believes that this effect may be misstated in the company's financial statements because of the recent volatility in exchange rates. Many analysts at other investment banking firms have been raising their ratings on WB because of the recent earnings growth. Jameson, however, wants to be absolutely certain that these results are accurate and fully attributable to Kasamatsu's hot new product and not a result of an exchange rate fluctuation. The following are the financial statements of Kasamatsu, stated in thousands of yen.

Financial Statements for Year Ending December 31, 2013

(in thousands of yen)		
Statement of Income and Retained Earnings		
Sales		700,000
Expenses		
	Cost of Goods Sold (COGS)	280,000
	Depreciation	126,000
	SG&A	<u>77,000</u>
	Total Expenses	483,000
Earnings Before Taxes (EBT)		217,000
Income Tax Expense		<u>98,000</u>
Net Income		119,000
Retained Earnings: December 31, 2012		<u>250,000</u>
		369,000
Dividends		<u>58,000</u>
Retained Earnings: December 31, 2013 *		311,000
* Retained earnings on 12/31/2013 were US \$2 million		

Balance Sheet		
Assets		
	Cash and receivables	60,000
	Inventory	180,000
	Land	200,000
	Fixed assets	<u>346,000</u>
	Total assets	786,000
Liabilities and stockholders' equity		
	Liabilities	300,000
	Capital stock	175,000

	Retained earnings	<u>311,000</u>
	Total liabilities and stockholders' equity	786,000

Question #100 - 103 of 126

Question ID: 1472522

Jameson would like to examine WB's group accounts. What is the *most appropriate* exchange rate (yen/\$) to use in translating Kasamatsu's reported dividends into U.S. dollars?

- A) 150.
 - B) 140.
 - C) 145.
-

Question #101 - 103 of 126

Question ID: 1472523

If Jameson wishes to convert any of the figures on Kasamatsu's Income Statement from yen to dollars, she should *most appropriately* use which of the following exchange rates (yen/\$)?

- A) 140.
 - B) 145.
 - C) 150.
-

Question #102 - 103 of 126

Question ID: 1472524

Jameson has finally completed translating all the necessary figures into dollars and now wants to compute by how much WB's reported sales in dollars will change due to Kasamatsu's sales. Which of the following is *closest* to the amount of sales that WB will report as a result of Kasamatsu's operations (in thousands of dollars)?

- A) \$4,828.
- B) \$5,000.
- C) \$4,667.

Question #103 - 103 of 126

Question ID: 1472525

Before Jameson can perform any financial statement analysis, she wants to determine which method WB uses to translate Kasamatsu's earnings into U.S. dollars (USD). Which of the following is the *most* accurate translation method and reasoning? WB should translate Kasamatsu's earnings using the:

- A)** current rate method because the local currency is the USD.
 - B)** temporal method because the local currency differs from the functional currency.
 - C)** current rate method because the functional currency is the yen.
-

Question #104 of 126

Question ID: 1472557

Which of the following subsidiary ratios will be affected by the translation adjustment under the current rate method?

- A)** Net profit margin.
 - B)** Gross margin.
 - C)** Return on equity.
-

Geocorp is a global corporation with operations in North America, Asia, and Europe. Its primary business is marketing industrial machinery for the construction industry. Geocorp has regional headquarters located in New York, Tokyo, and Paris. All North American and U.S. operations report to its regional and world headquarters located in New York, while all Asian operations report to Tokyo, and all European operations report to Paris.

The following information is relevant to Geocorp's subsidiaries:

- Geocorp has a Canadian subsidiary that reports its results in Canadian dollars (CAD). The CAD is the functional currency.
- All domestic U.S. operations report their results in U.S. dollars (USD).
- Consolidated financial statements are reported in USD.
- Geocorp's Asian operations report their results in Japanese yen (JPY). The JPY is the functional currency.

- Geocorp's European headquarters (in Paris) operations report their results in euros (EUR). The EUR is the functional currency.
- Geocorp has a British subsidiary that reports its results in British pounds (GBP). The USD is the functional currency.

The following table is a summary of selected financial results from Geocorp's foreign operations:

All values are in millions	CAD	JPY	GBP	EUR
Revenues	50	5,000	150	700
Cost of goods sold (COGS)	20	2,700	100	480
Gross profit	30	2,300	50	220
Selling, general & administrative (SGA) expenses	18	1,000	29	200
EBIT	12	1,300	21	10
Cash	35	4,200	102	400
Accounts receivable	12	1,400	45	170
Inventory	20	3,900	123	300
Fixed assets	62	7,680	370	450
Accounts payable	27	3,300	68	350
Long-term debt	0	8,450	320	550
Common stock	10	2,000	50	350

The following exchange rates apply (USD per foreign currency unit):

Currency	Historical Rate	Average Rate	December 31, 20X2
CAD	USD 0.7013	USD 0.6803	USD 0.6592
JPY	USD 0.0094	USD 0.0088	USD 0.0082
EUR	USD 0.9801	USD 1.0318	USD 1.0834
GBP	USD 1.4803	USD 1.5506	USD 1.6209

With respect to the Canadian subsidiary, what method should be used to value its revenues, what is the appropriate exchange rate, and what is the translated value (in USD)?

- A)** Temporal method, average rate, USD 34.0 million.
 - B)** Current method, current rate, USD 33.0 million.
 - C)** Current method, average rate, USD 34.0 million.
-

Question #106 - 108 of 126

Question ID: 1586129

With respect to the Japanese subsidiary, what method should be used to value its accounts receivable, what is the appropriate exchange rate, and what is the translated value (in USD)?

- A)** Temporal method, current rate, USD 11.5 million.
 - B)** Current method, current rate, USD 11.5 million.
 - C)** Current method, average rate, USD 12.3 million.
-

Question #107 - 108 of 126

Question ID: 1586130

With respect to the European HQ subsidiary, what method should be used to value its SG&A expenses, what is the appropriate exchange rate, and what is the translated value (USD)?

- A)** Current method, current rate, USD 216.7 million.
 - B)** Temporal method, average rate, USD 206.4 million.
 - C)** Current method, average rate, USD 206.4 million.
-

Question #108 - 108 of 126

Question ID: 1586131

With respect to the British subsidiary, what method should be used to value its fixed assets, what is the appropriate exchange rate, and what is the translated value (USD)?

- A)** Temporal method, historical rate, USD 547.7 million.
- B)** Current method, historical rate, USD 547.7 million.
- C)** Current method, current rate, USD 599.7 million.

Neptune Corporation (Neptune) is a U.S. company located in Detroit, Michigan. Neptune supplies exhaust emission systems to manufacturers of passenger cars and light duty trucks. In January 2006, Neptune formed a wholly owned subsidiary, Continental Systems GmbH (Continental), to supply automotive manufacturers located throughout Europe. Continental is located in Stuttgart, Germany.

Neptune reports its consolidated financial statements in U.S. dollars. The euro has been consistently appreciating against the dollar.

Continental accounts for its inventory using the first-in, first-out (FIFO) cost flow assumption. Fixed assets consist of machinery, tools, and equipment.

Continental has net monetary assets.

Question #109 - 112 of 126

Question ID: 1586093

Assuming the current rate method is used to translate Continental's financial statements, as compared to the local currency ratios, which of the following statements about translated operating profit margin and long-term debt to equity ratios is correct?

- A) Long-term debt-to-equity ratio will be higher.
- B) Operating profit margin will be higher.
- C) Neither ratio will change.

Question #110 - 112 of 126

Question ID: 1586094

When stated in U.S. dollars, would Continental *most likely* report a higher fixed asset turnover ratio and a higher quick ratio under the temporal method, as compared to the current rate method?

- A) Both ratios will be higher under the temporal method.
- B) Only fixed asset turnover will be higher under the temporal method.
- C) Only the quick ratio will be higher under the temporal method.

Question #111 - 112 of 126

Question ID: 1586095

Which of the following statements about the temporal method and the current rate method is *least* accurate?

- A) Net income is generally more volatile under the temporal method than under the current rate method.
 - B) Subsidiaries whose operations are well integrated with the parent will generally use the current rate method.
 - C) Subsidiaries that operate in highly inflationary environments will generally use the temporal method under U.S. GAAP.
-

Question #112 - 112 of 126

Question ID: 1586096

As compared to local currency ratios, which of the following are the *most likely* impacts on gross profit margin and net profit margin, assuming the temporal method is used to remeasure Continental's financial statements?

- A) Both will be higher.
 - B) Higher net income, with a higher funded status.
 - C) Only net profit margin will be higher.
-

Question #113 of 126

Question ID: 1472550

The U.S. dollar has been depreciating relative to the local currency over the past year. The use of the current rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the operating profit margin (EBIT/S) relative to what the ratio would have been without the effects of translation?

- A) There will be no effect on the ratio.
 - B) The ratio will rise.
 - C) The ratio will fall.
-

Question #114 of 126

Question ID: 1472496

A U.S. firm owns a foreign subsidiary in France. In 2002, sales were EUR 1,000,000 and the USD/EUR exchange rate was 1.0620. In 2003, sales were EUR 1,100,000 and the exchange rate was 1.1417. What is the impact of the change in the value of the USD on the parent company's translated sales?

- A)** Sales will decrease by 7.5%.
 - B)** Sales will increase by 7.5%.
 - C)** Sales will increase by 18.25%.
-

Question #115 of 126

Question ID: 1472545

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The Swiss franc (SF) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the FIFO inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The translated value of accounts receivable and inventory respectively are:

- A)** \$1,845 and \$2,401.

B) \$1,801 and \$2,401.

C) \$1,845 and \$2,460.

Question #116 of 126

Question ID: 1472487

The local currency is:

A) translated into the functional currency under the current rate method.

B) the preferred functional currency for subsidiaries that are highly integrated with the parent.

C) the same as the functional currency under the current rate method.

Question #117 of 126

Question ID: 1477070

Which of the following ratios is unaffected by the choice between the current rate method and the temporal method?

A) Inventory turnover.

B) Current ratio.

C) Quick ratio.

Question #118 of 126

Question ID: 1472551

Which of the following statements regarding the effects of translation on financial statement items/ratios is *most* accurate?

A) Fixed assets are relatively overstated under the temporal method compared to the local currency if the local currency has appreciated.

B) Leverage is higher under the current rate method as compared to under the local currency.

C) Depreciation in the reporting currency under the current rate method is higher than under the temporal method if the local currency has appreciated.

Question #119 of 126

Question ID: 1472571

Which translation method should be used under a hyperinflationary economy when using U.S. GAAP?

- A)** Monetary/non-monetary, because all monetary accounts are translated at the historical rate.
 - B)** All-current, because dividends are translated at the rate that applied when they were issued.
 - C)** Temporal, because all non-monetary accounts are re-measured at the historical rate.
-

Question #120 of 126

Question ID: 1472506

Under the current rate method, common stock is translated by using the:

- A)** rate that existed when the equity was issued.
 - B)** exchange rate as of the balance sheet date.
 - C)** present value of weighted average rate.
-

Question #121 of 126

Question ID: 1472573

Organic growth in sales is *most* accurately defined as growth in sales excluding the effects of:

- A)** currency value fluctuations.
 - B)** acquisitions/divestitures only.
 - C)** acquisitions/divestitures and currency value fluctuations.
-

Question #122 of 126

Question ID: 1472568

In reality, what *best* describes the real value of non-monetary assets and liabilities in a hyperinflationary environment?

- A)** Typically not affected because their local currency-denominated values decrease to offset the impact of inflation.
 - B)** Typically not affected because their local currency-denominated values increase to offset the impact of inflation.
 - C)** All non-monetary accounts are re-measured at the current rate.
-

Question #123 of 126

Question ID: 1586081

Which of the following statements regarding the functional currency under US GAAP is *least* accurate?

- A)** The functional currency is defined as the primary currency of the economic environment in which the parent firm operates.
 - B)** Self-contained, independent subsidiaries whose operations are primarily located in the local market will use the local currency as the functional currency.
 - C)** If a firm operates in a country or environment which is subject to cumulative inflation of 100% or more over a three year period, that firm will use the parent's currency as the functional currency.
-

Question #124 of 126

Question ID: 1472505

Which of the following general statements is *CORRECT* with respect to the temporal method? Revenues and operating expenses (excluding COGS) are translated at the:

- A)** historical rate.
 - B)** average rate.
 - C)** current rate.
-

Question #125 of 126

Question ID: 1472500

Which of the following situations does *NOT* require the use of the temporal method? The:

- A)** foreign subsidiary is operating in a highly inflationary economy.
 - B)** local currency is the functional currency.
 - C)** functional currency is some currency other than the local currency or the U.S. dollar.
-

Question #126 of 126

Question ID: 1472489

Which of the following statements regarding the functional currency is *least* accurate? The functional currency:

- A)** is remeasured into the reporting currency under the temporal method.
- B)** is the currency of the primary economic environment in which the foreign subsidiary generates and expends cash.
- C)** is determined by management.